

## M/S Ayesha Steels Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Others

High Court of Judicature at Allahabad · Division Bench · 17 November 2016 · Writ-C No. 54461 of 2016 · **The writ petition was dismissed: the petitioner was held not entitled to interest on the delayed adjustment of Load Factor Rebate — interest having been neither claimed nor granted in its earlier writ, and only adjustment (which the petitioner voluntarily accepted in phased monthly instalments) having been sought — and the applicability of Clause 6.4(c) of the U.P. Electricity Supply Code, 2005 was expressly left open.**

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### HEADNOTE

An induction-furnace consumer challenged the rejection of its claim for interest on the delayed grant of Load Factor Rebate, contending that the rebate (admissible under the Tariff Order dated 31 March 2010) had been adjusted only from April 2015 though due monthly from April 2011. The Division Bench dismissed the petition on the facts. In its earlier Writ C No. 27514 of 2012 the consumer had claimed only the rebate and its adjustment, not interest, and the disposal order dated 30 May 2012 had not directed any interest; in the consumer's own compliance application it again sought only adjustment; and at a meeting on 21 April 2015 it was voluntarily resolved that the large rebate would be adjusted at Rs. 60,000 per month, on which the consumer acted. On these facts alone the consumer was held not entitled to any interest on the delayed adjustment. The Court found it unnecessary to decide whether Clause 6.4(c) of the U.P. Electricity Supply Code, 2005 (which provides that no interest shall be paid on the un-adjusted balance lying with the licensee) applied, and expressly left that question open. The consumer's contention that the phased-adjustment agreement had been procured by undue pressure was rejected, since it was aware of the Court's order and had itself sought only adjustment. The writ was accordingly dismissed.

### FACTUAL SUMMARY

The petitioner, M/S Ayesha Steels Pvt. Ltd., an induction-furnace consumer with a sanctioned load of 2700 KVA, was entitled under the Tariff Order for 2009-10 (effective 31 March 2010) to a Load Factor Rebate where the maximum demand recorded did not exceed the defined KVAH per KVA. It had earlier filed Writ C No. 27514 of 2012 seeking a direction to grant the rebate and adjust or refund it; that petition was disposed of on 30 May 2012 (following a Division Bench order dated 24 February 2011 in the Jain Steels matter) directing grant and adjustment of the rebate, but neither claiming nor granting any interest. Pursuant to that order the petitioner submitted a letter dated 11 June 2012 seeking only adjustment of the rebate in its May 2012 bill. As the amount was large, a meeting of the Nigam's officers and the petitioner's representatives on 21 April 2015 resolved that Rs. 60,000 would be adjusted in each future monthly bill until the rebate was fully adjusted, and the petitioner acted on this. After the adjustment, the petitioner applied on 19 June 2016 for interest for the delayed adjustment and filed Writ C No. 30966 of 2016, disposed of on 20 July 2016 with a direction that its representation be decided. The Executive Engineer rejected the claim by communication dated 21 September 2016, relying on Clause 6.4(c) of the Code (no interest on the un-adjusted balance lying with the licensee). The petitioner then filed the present writ challenging that rejection and claiming interest.

### REUSABLE CONSTRUCTIONS

1. A consumer who did not claim interest for the delayed payment or adjustment of a benefit (here, Load Factor Rebate) in an earlier writ — in which the Court granted only adjustment and not interest — and who in its own compliance application sought only adjustment, cannot later maintain a fresh claim for interest on the delayed adjustment. p. p. 5-6
2. Where the parties, at a meeting, voluntarily resolve that a large rebate be adjusted in phased monthly instalments and the consumer acts on that resolution and takes the benefit, the consumer cannot afterwards resile from the arrangement by alleging that it was entered under undue pressure, especially where the consumer was aware of the Court's order and had itself sought only adjustment. p. p. 6

3. A court may decide an interest claim on the facts alone and expressly leave open the applicability of the Code provision said to bar interest (here Clause 6.4(c) of the U.P. Electricity Supply Code, 2005 — no interest on the un-adjusted balance lying with the licensee) for decision in an appropriate case. p. p. 6

## HOLDING-UNITS

### HOLDING-UNIT · UP-2005::6.4(c)

RATIO

No interest on delayed adjustment of Load Factor Rebate on the facts; applicability of Clause 6.4(c) left open

#### QUESTION

Is a consumer entitled to interest on the delayed adjustment of Load Factor Rebate where interest was neither claimed nor granted in the earlier writ, the consumer sought only adjustment, and it voluntarily accepted phased monthly adjustment?

#### HOLDING

No. The petitioner had not claimed interest in the earlier Writ C No. 27514 of 2012, and the Court's order dated 30 May 2012 did not direct interest; in its compliance application the petitioner sought only adjustment of the rebate, and at the meeting of 21 April 2015 it was resolved that the large rebate would be adjusted at Rs. 60,000 per month, on which the petitioner acted. On these facts alone the petitioner was held not entitled to any interest on the delayed adjustment. The Court found it unnecessary to examine whether Clause 6.4(c) of the Code (which bars interest on the un-adjusted balance lying with the licensee) applied, and expressly left that question open. The contention that the phased-adjustment agreement was procured by undue pressure was rejected. p. p. 5-6

**EVIDENCE** “The facts narrated above alone, in our opinion, are sufficient to hold that the petitioner is not entitled to any interest on the delayed adjustment of the Load Factor Rebate amount.” p. p. 6

**EVIDENCE** “The petitioner could have claimed payment of interest for not providing the rebate in the bills that had been raised, but such a claim was not made by the petitioner.” p. p. 5

**EVIDENCE** “not only had the petitioner not claimed any interest in the petition that was filed by him but the Court also did not grant it any interest.” p. p. 2

**FLAG** Source has printed page numbers (pp. 1-6); pins reference those printed pages. The judgment (17.11.2016) decides the interest claim on the facts and expressly leaves the applicability of Clause 6.4(c) open.

## PRINCIPLE TAGS

**no-interest-where-not-claimed-or-granted-earlier** The petitioner had neither claimed interest in its earlier writ nor been granted any, and had sought only adjustment in its compliance application; it could not resurrect an interest claim after the rebate was adjusted. p. p. 5

**consumer-bound-by-voluntary-phased-adjustment-agreement** Having voluntarily agreed at the 21 April 2015 meeting to phased Rs. 60,000/month adjustment and acted on it, the consumer could not allege undue pressure to reopen the arrangement and claim interest. p. p. 6

**clause-6-4c-interest-on-unadjusted-balance-left-open** The Court decided the interest claim on the facts and expressly declined to decide whether Clause 6.4(c) (no interest on the un-adjusted balance lying with the licensee) applied. p. p. 6

## NOT DECIDED — NEGATIVE AUTHORITY

**NOT DECIDED — WHETHER CLAUSE 6.4(C) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 (BARRING INTEREST ON THE UN-ADJUSTED BALANCE LYING WITH THE LICENSEE) APPLIES TO A CLAIM FOR INTEREST ON DELAYED LOAD FACTOR REBATE**

Expressly left open; the Court decided the interest claim on the facts alone and left the applicability of Clause 6.4(c) to be decided in an appropriate case. p. p. 6

## RELATED CASES — SEE ALSO

**SCJ-995** — M/S Ayesha Steels (2016) — same petitioner; a connected challenge to an additional-security demand under Para 4.20 of the Code, dismissed as infructuous.

**SCJ-1997** — Saiyad Ali Akhtar (2019) — Clause 6.4 (the provision family here); payment and adjustment of electricity dues in instalments where the demand is undisputed.

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SCJ-2637 · M/S Ayesha Steels Pvt. Ltd. v. Paschimanchal Vidyut Vitran Nigam Ltd. & Others · · Supply Code Jurisprudence

*A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.*